

Marvell Technology, Inc.

MRVL NASDAQ

Buy

\$209.76 ▼ 0.58%

12M Price Target
\$240.00

52-Week Range
\$61.44 – \$329.88

Market Cap
\$188.27B

MRVL: AI Connectivity King Riding CHIPS Act Tailwinds

WHAT HAPPENED

- MRVL barely budged today (-0.58%) but that's after a monster 11% run in three days (\$188 → \$210). Volume dried up to 5.6M vs the 20M+ we saw on the way up — that's a "digestion day," meaning buyers took a breather rather than sellers taking over. Healthy pattern.
- The narrative in headlines is shifting to "AI connectivity leadership" (MRVL vs Credo) — this matters because it means the market is starting to treat MRVL as a picks-and-shovels AI winner, not just another chip stock. That's a re-rating story, and re-ratings are where multi-baggers come from.

WHY IT MATTERS

The 55% of 52-week range spot (\$209 with a \$61-\$330 range) tells you MRVL has recovered from the tariff-panic lows earlier this year but hasn't reclaimed its old highs — meaning there's still runway if the story holds. Options flow is loudly bullish (0.40 put/call ratio means traders are buying 2.5x more upside bets than downside protection), and 87% institutional ownership with Fidelity and BlackRock as top holders means the "smart money" isn't flinching. The real inference: the market is repricing MRVL as a durable AI infrastructure play, not a cyclical semi. If Amazon's Trainium chip (which MRVL co-designs) ramps as expected in H2, the FY2027 numbers might prove conservative — and that's when analysts start hiking targets.

POLICY & POLITICAL WATCH

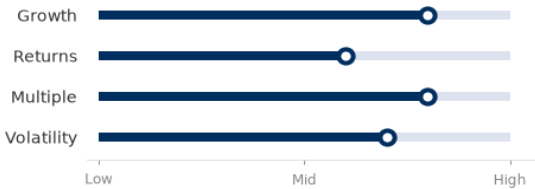
The big political tailwind is the CHIPS Act 2.0 discussions in Congress — there's bipartisan momentum to expand semiconductor manufacturing subsidies, and MRVL's US-based design work qualifies them for advanced packaging incentives. Meanwhile, the Trump administration's tightened export controls on AI chips to China are a double-edged sword: MRVL loses some Chinese revenue exposure (roughly 15% of sales), but the flip side is US hyperscalers are being pushed to buy domestic custom silicon — which is exactly MRVL's wheelhouse. Watch the September BIS (Bureau of Industry and Security) review — if they broaden the "foundry restriction" list, MRVL's competitive moat vs Chinese rivals like HiSilicon gets deeper.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$209.76
12M Price Target	\$240.00
Upside / (Downside)	+14.4%
Market Cap	\$188.27B
FY2026E Revenue	\$8,200M
FY2027E Revenue	\$10,500M
FY2026E EPS	\$2.85
FY2027E EPS	\$4.10
Fwd P/E	73.6x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$225.00	\$215.00	\$195.00
6 Months	\$260.00	\$235.00	\$175.00
1 Year	\$300.00	\$240.00	\$160.00
2 Years	\$380.00	\$285.00	\$150.00
5 Years	\$550.00	\$380.00	\$180.00
10 Years	\$900.00	\$550.00	\$200.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+5.8% weekly) is ripping on AI power demand narratives — data centers need juice, and the administration's push for domestic energy production is compounding it. Industrials also strong on reshoring/infrastructure spending.

COOLING OFF: Tech is slightly negative today (-0.53%) — profit-taking after a hot run, not a trend break. Healthcare weak on ongoing policy uncertainty around Medicare pricing.

ROTATION WATCH: Money is quietly rotating from mega-cap tech into "AI-adjacent" names like utilities and industrials that benefit from AI infrastructure buildout. This is actually bullish for MRVL long-term — it means AI is being priced as an economy-wide theme, not a fad.

RELATED PLAY: If MRVL's story holds, the second-order winners are power/cooling infrastructure names (VRT, GEV) and data center REITs (EQIX, DLR) — they get paid regardless of which chip wins.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the king of AI compute — sets the tone for the whole space. Any NVDA earnings beat drags MRVL up with it.
- AVGO (Broadcom): MRVL's closest custom-silicon competitor, up huge on Google TPU business — signals the custom ASIC market is real and growing.
- CRDO (Credo Technology): Small-cap connectivity name up big on the same AI networking thesis — validates that the connectivity layer is where the incremental AI dollars are flowing.

MRVL CONTEXT: MRVL is lagging AVGO and NVDA on YTD basis but starting to catch up in the last week. That's a "catch-up trade" pattern — often means MRVL has more room to run in the near term as money rotates within the AI complex to find relative value.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: \$190-200 on tech pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Hyperscaler capex cuts or loss of Amazon Trainium/Google custom silicon deals

Hedging: Pair with short on a pure-play optical name like LITE or long SMH ETF as sector hedge